NCE EXAM PREP

Practice Exam 12

Domain 6

Legal & Ethical Compliance

34 Practice Questions | 45 minutes

A, B, C answer choices

Answer Key and Explanations included

> **Instructions.** Select the single best answer for each question. Record your answers separately. This domain practice set is drawn from Full-Length Practice Exam 02. Use the suggested 45-minute practice timer. Do not consult Part B until you complete Part A. These domain timings are editorial practice allocations, not official NBCC section limits.

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PART A — QUESTIONS

Choose one answer (A, B, or C) per question.

Question 1

> An integrated-care counselor considers pasting a client's safety plan into a free AI translation website. The site retains submitted text, warns that translations may be inaccurate, and is not approved by the organization. Policy requires qualified language assistance for clinically significant communication.

What should the counselor do?

A) Use a qualified language service and keep the safety plan out of the unapproved tool

B) Remove the client's name and use the website because de-identification guarantees an accurate translation

C) Use the website first and ask a family member to correct any mistakes later

Question 2

> During office hours, a caller makes a credible bomb threat against a counseling center. The center's written emergency plan requires immediate evacuation, a call to emergency services, and assembly at a designated location.

What should the clinical director do?

A) Finish sessions before evacuating so abrupt endings do not distress clients

B) Search the building personally before deciding whether the threat is credible

C) Activate the emergency plan, evacuate, contact responders, and account for clients and staff

Question 3

> An electronic health record audit shows that a scheduling employee opened a neighbor's counseling chart despite having no work-related reason. The clinic's security policy requires immediate access control, preservation of audit evidence, and privacy-officer review.

What is the most appropriate initial response?

A) Restrict the employee's access, preserve the audit log, and report the event through the required review process

B) Ask the employee to promise not to repeat the search and remove the event from the audit log

C) Leave access unchanged until the neighbor confirms that the employee used the information outside the clinic

Question 4

A counselor enters credentials after clicking a convincing password-reset link and then notices the web address was not the clinic's domain. Security policy requires immediate incident reporting, password reset through a verified channel, session revocation, and device review.

What should the counselor do?

A) Follow the incident procedure immediately rather than waiting for evidence that the account was misused

B) Delete the message and take no further action if the account still opens normally

C) Send the suspicious link to coworkers so they can test whether it also accepts their credentials

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Question 5

A practice considers deploying a client-facing AI chatbot as a "24/7 counseling assistant." The vendor cannot explain how the bot handles crises, prevents fabricated advice, or protects conversation data. Clients would not initially be told that responses are automated.

What should the clinical director do?

A) Postpone deployment until privacy, validation, disclosure, human oversight, service limits, and crisis procedures are established

B) Deploy the bot only to established clients because the existing relationship supplies adequate oversight

C) Deploy the bot with a disclaimer that the practice is not responsible for automated responses

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Question 6

A board consent order permits a counselor to practice only with monthly supervision and requires written notice to the counselor's employer. The counselor has begun a new job but plans to wait until the employer asks about restrictions.

What should the counselor do?

A) Delay disclosure because the order is personal information unless a client is harmed

B) Give the required notice and ensure that compliant supervision is in place before continuing practice

C) Arrange informal peer consultation without telling the employer about the board order

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Question 7

A routine telehealth session disconnects during discussion of a nonurgent work concern. The telehealth agreement designates a telephone call as the backup method and requires the counselor to reconfirm privacy before continuing.

What should the counselor do?

A) Use the agreed backup, confirm privacy, and continue or reschedule as appropriate

B) Send a direct message through the client's public social-media account because it is immediately available

C) Take no action because clients alone are responsible for restoring a failed connection

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Question 8

A graduate counseling intern is told to wear a badge reading "Licensed Professional Counselor" so clients will feel more confident. State law reserves that title for licensees, and the training site requires interns to identify their supervised status.

What should the intern and site do?

A) Use the licensed title because the supervisor assumes responsibility for the intern's services

B) Use the licensed title only with clients who already know the intern is a student

C) Use an accurate intern title and clearly identify the qualified supervisor and supervised status

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Question 9

A client authorizes the clinic to send the client's medical record to a primary care physician for care coordination. The clinic maintains the counselor's private psychotherapy notes separately, and policy requires a distinct, specific authorization before those notes may be disclosed.

What should the counselor send?

A) The entire file, including the separate notes, because the physician is involved in treatment

B) The authorized relevant record, excluding separate notes unless specific authorization is obtained

C) Only appointment dates because no clinical information may be shared with another treating professional

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Question 10

A current client files an ethics complaint against a counselor. The counselor is angry and considers stating that counseling will continue only if the client withdraws the complaint. The client has not threatened the counselor or disrupted sessions.

What should the counselor do?

A) Avoid retaliation and base any care transition on clinical and ethical factors

B) Make withdrawal of the complaint a condition of treatment because trust has been damaged

C) End services immediately without referrals so the counselor does not influence the investigation

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Question 11

A former client sends a written demand alleging harm and requesting payment. The counselor's professional liability policy requires prompt notice of any potential claim and instructs the insured not to admit liability or alter records before receiving guidance.

What should the counselor do?

A) Pay the requested amount personally so no insurance record is created

B) Notify the carrier promptly, preserve the record, and follow appropriate legal and claims guidance

C) Revise the record to add details that make the counselor's decisions appear more defensible

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Question 12

A client is ordered to attend counseling as a condition of probation. The order requires the counselor to report monthly attendance and whether the client participates, but it does not authorize disclosure of session content.

How should the counselor address confidentiality at intake?

A) Promise complete confidentiality because the probation officer is not part of treatment

B) Explain the mandated status and reporting limits, obtain informed consent, and disclose only the required information

C) Tell the client that the complete record will be sent monthly because court involvement removes confidentiality

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Question 13

A counselor realizes that personal beliefs are creating discomfort while working with a same-sex couple. The counselor is otherwise trained to address the couple's presenting concern, and no competence-based reason for referral exists.

What is the counselor's most appropriate response?

A) Refer the couple immediately because personal-value conflicts always justify ending services

B) Seek consultation to manage personal values and continue competent, nondiscriminatory counseling

C) Explain the counselor's disapproval so the couple can decide whether to remain in counseling

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Question 14

A billing review shows that both a primary and a secondary insurer paid the full allowed amount for the same sessions because coordination-of-benefits information was entered incorrectly. The resulting credit remains in the client's account.

What should the counselor or practice do?

A) Apply the credit to future sessions without informing either insurer

B) Correct the coordination error, notify the appropriate parties, and return any overpayment as required

C) Divide the extra payment between the client and the practice because both plans approved the claims

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Question 15

A counselor discovers that a progress note for Client A was saved in Client B's electronic chart. Clinic policy provides a controlled correction process, requires preservation of the audit trail, and directs staff to assess whether unauthorized access occurred.

What should the counselor do?

A) Restrict access as needed, report the error, and use the approved process to correct both records while preserving the audit trail

B) Copy the note into Client A's chart and leave the original in place to avoid altering a signed record

C) Permanently delete the misplaced note and avoid reporting it if no one admits reading it

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Question 16

A client signed an authorization allowing a treatment summary to be sent to a university program. The counselor did not send it before the authorization expired yesterday. Clinic policy requires a current written authorization for this disclosure.

What should the counselor do?

A) Send the summary because the authorization was valid when the client signed it

B) Change the date on the authorization after confirming the client's wishes by telephone

C) Obtain a new valid authorization before releasing the summary

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Question 17

A counselor is leaving a group practice. The employment agreement and applicable law designate the practice as records custodian and require clients to receive notice of continuity options. The counselor wants to download all client charts to a personal drive for future reference.

What should the counselor do?

A) Download the charts because the counselor created most of the clinical content

B) Follow the custody and notice requirements and access or transfer records only through authorized processes

C) Delete the charts from the practice system after notifying clients of the departure

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Question 18

A 16-year-old independently consents to counseling under a state law that also gives the adolescent control over disclosure of those records. A parent demands detailed session notes, and no safety exception or court order applies.

What should the counselor do?

A) Release the notes because parents always control a minor's counseling information

B) Give the parent a verbal summary because oral disclosure is not a release of records

C) Follow the adolescent-consent law, maintain confidentiality, and discuss permissible family involvement with the client

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Question 19

A counselor discovers that an insurer's online directory lists an outdated office address and a specialty the counselor does not hold. Prospective clients have begun calling for that specialty.

What should the counselor do?

A) Leave the listing unchanged because the insurer, not the counselor, published it

B) Request prompt correction and give prospective clients accurate information in the meantime

C) Accept the specialty referrals as long as the clients sign a general informed-consent form

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Question 20

A court-appointed executor requests billing records needed to settle a deceased client's estate. The applicable law treats the executor as the client's personal representative for relevant records, and the executor provides valid appointment documents.

How should the counselor respond?

A) Refuse because no information may ever be released after a client's death

B) Release the complete clinical record because an executor automatically needs every counseling detail

C) Verify the documents and provide the records relevant to the authorized estate purpose through a secure process

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Question 21

An automated intake system routes applicants who use public insurance to a waitlist even when clinicians have matching openings. Practice policy prohibits payer-based discrimination and requires human review of consequential automated decisions.

What should the practice do?

A) Continue using the system because consistent automation is less biased than staff judgment

B) Keep the routing rule but add a notice that insurance type may affect scheduling

C) Suspend the discriminatory routing, review affected applications, and audit and correct the system before reuse

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Question 22

During a restoration drill, a clinic learns that its backup service has copied unencrypted counseling records into an unapproved consumer cloud account. Security policy requires encrypted backups in approved storage and immediate review of unauthorized repositories.

What should the clinic do?

A) Leave the backup in place because restoration testing proved that it works

B) Download another copy to a personal drive before anyone changes the account

C) Secure the repository, report and assess the exposure, and migrate backups to approved encrypted storage

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Question 23

> A group practice wants to engage a prelicensed associate as an independent contractor who will set fees and bill under the associate's own name. State rules permit associates to practice only as employees of approved sites under board-qualified supervision and prohibit independent billing.

What should the practice do?

A) Use the contractor arrangement if the associate meets weekly with any licensed clinician

B) Establish a rule-compliant employment and supervision arrangement or do not engage the associate for clinical work

C) Let the associate bill independently but add the supervisor's name to progress notes

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Question 24

> A telehealth client joins a scheduled session from the back seat of a rideshare vehicle. The driver can hear the conversation, and the client says there will be no private location for another 20 minutes. No urgent concern is present.

What is the counselor's best response?

A) Proceed because clients may waive privacy by choosing a public setting

B) Avoid clinical discussion until privacy can be established, then resume or reschedule according to policy

C) Ask the driver to sign a confidentiality statement and continue the session immediately

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Question 25

How should a counselor generally treat a deceased client's confidential information?

A) Continue to protect it and disclose only when valid consent, lawful authority, or another applicable exception permits

B) Release it to any family member because confidentiality ends automatically at the client's death

C) Destroy it immediately so no personal representative can request access

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Question 26

Which device-management practice best supports compliant electronic counseling work?

A) Use supported devices, timely security updates, approved encryption, and access controls such as multifactor authentication

B) Continue using unsupported software if the device has never displayed a visible security warning

C) Share one clinic login among staff so urgent work is not delayed by individual authentication

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Question 27

Which task is most appropriate for a counselor to delegate to a trained, nonlicensed administrative assistant?

A) Scheduling appointments using privacy-protective procedures without making clinical decisions

B) Conducting an intake risk assessment from a script and deciding whether urgent care is needed

C) Interpreting screening results and explaining a provisional diagnosis to a client

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Question 28

In a small community where incidental contact with clients is reasonably foreseeable, which boundary practice is most appropriate?

A) Discuss foreseeable contact, agree on privacy-protective boundaries, document them, and monitor their effect

B) Terminate counseling whenever a counselor and client might encounter each other outside the office

C) Ignore incidental contact because boundary concerns arise only from intentional social relationships

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Question 29

Which practice is most appropriate when a counselor may use a collection agency for overdue balances?

A) Give the agency unrestricted record access so it can decide what information will encourage payment

B) Avoid mentioning collections until a client misses payment because advance notice may discourage treatment

C) Disclose the collection policy in the financial agreement and release only legally permitted information if collection becomes necessary

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Question 30

> A licensing board sends a counselor a verified notice of complaint and requests a written response plus specified records. State law authorizes the board to obtain those records for its investigation, and the counselor's liability policy requires timely notice of licensing complaints.

What should the counselor do?

A) Notify the carrier, respond truthfully on time, and transmit authorized records securely

B) Contact the complainant and offer free sessions in exchange for withdrawing the complaint

C) Ignore the request because client confidentiality prevents cooperation with any licensing investigation

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Question 31

A client asks a community counselor to connect the client's consumer sleep and mood tracker to the clinic portal. The app's terms permit sale of identifiable use data to advertising partners, and the clinic has not approved the app for clinical integration.

What should the counselor do?

A) Connect the app because the client owns the data and requested the transfer

B) Ask the client to email weekly screenshots so the app's terms no longer matter

C) Explain the privacy concern and use an approved alternative or decline the integration

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Question 32

A client offers a counselor a handmade item of modest monetary value at the end of a significant cultural celebration. The agency permits small gifts when the counselor evaluates meaning, potential influence, cultural context, and clinical impact.

What should the counselor do?

A) Reject every gift automatically because acceptance always creates an unethical multiple relationship

B) Evaluate the gift under agency policy, discuss relevant meaning and boundaries, and document the decision

C) Accept the gift without discussion because low monetary value eliminates boundary concerns

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Question 33

An employer asks a licensed counselor to administer and independently interpret a specialized personality test. The state's scope rule and the test publisher restrict independent use of this instrument to psychologists, and no qualified psychologist is available at the site.

What should the counselor do?

A) Administer the test because the employer assumes responsibility for scope decisions

B) Use the test if the client signs a waiver acknowledging the counselor's license type

C) Decline the restricted task and arrange an appropriate qualified provider or alternative assessment

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Question 34

A practice sells a ten-session package and places advance payments into its operating account. After two sessions, a client moves away and requests the unused balance. State consumer rules require advance fees to be kept separately until earned and require prompt refund of unearned funds.

How should the practice respond?

A) Keep the balance because discounted packages become nonrefundable when the first session occurs

B) Convert the balance into a donation to the practice's reduced-fee fund

C) Refund the unearned amount and correct the handling of future advance payments

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PART B — ANSWER KEY AND EXPLANATIONS

Answers match the numbered items in Part A.

Question 1 — Correct: A

Correct Answer: Use a qualified language service and keep the safety plan out of the unapproved tool

Explanation: A safety plan requires accurate communication, and the organization's policy identifies qualified language assistance as the appropriate safeguard. Removing a name would not resolve retention, approval, or translation-reliability problems with the free tool.

Question 2 — Correct: C

Correct Answer: Activate the emergency plan, evacuate, contact responders, and account for clients and staff

Explanation: A credible bomb threat requires immediate use of the center's established safety procedure. Delaying evacuation to finish sessions or having staff search the building would expose clients and employees to unnecessary danger.

Question 3 — Correct: A

Correct Answer: Restrict the employee's access, preserve the audit log, and report the event through the required review process

Explanation: Access without a work purpose is a privacy and security event requiring containment and investigation under the stated policy. Preserving the audit evidence supports an accurate review, while waiting for proof of outside use leaves inappropriate access unaddressed.

Question 4 — Correct: A

Correct Answer: Follow the incident procedure immediately rather than waiting for evidence that the account was misused

Explanation: Entering credentials on the wrong site creates a credible compromise that requires prompt containment. Verified password reset, session revocation, reporting, and device review are safer than assuming normal account access proves that no intrusion occurred.

Question 5 — Correct: A

Correct Answer: Postpone deployment until privacy, validation, disclosure, human oversight, service limits, and crisis procedures are established

Explanation: A client-facing tool labeled as a counseling assistant can directly affect care, privacy, and crisis response. A disclaimer or an established client relationship does not replace validation, clear disclosure, human accountability, and safe escalation procedures.

Question 6 — Correct: B

Correct Answer: Give the required notice and ensure that compliant supervision is in place before continuing practice

Explanation: A consent order is binding even if an employer has not asked about restrictions. Informal peer contact does not satisfy an explicit supervision condition, and concealment would compound the compliance problem.

Question 7 — Correct: A

Correct Answer: Use the agreed backup, confirm privacy, and continue or reschedule as appropriate

Explanation: The advance agreement supplies a safe continuity procedure for a routine technology failure. The counselor should use that plan and recheck privacy rather than moving clinical communication to public social media or abandoning follow-up.

Question 8 — Correct: C

Correct Answer: Use an accurate intern title and clearly identify the qualified supervisor and supervised status

Explanation: The reserved title cannot be borrowed from a supervisor or used for selected clients. Accurate identification prevents misrepresentation and enables clients to understand the intern's training status and supervisory structure.

Question 9 — Correct: B

Correct Answer: The authorized relevant record, excluding separate notes unless specific authorization is obtained

Explanation: The facts distinguish the general medical record from separately maintained psychotherapy notes and require separate permission for the latter. Care coordination does not erase that specific authorization requirement, but it also does not prohibit an appropriately scoped clinical release.

Question 10 — Correct: A

Correct Answer: Avoid retaliation and base any care transition on clinical and ethical factors

Explanation: Conditioning treatment on withdrawal would use the counseling relationship to pressure the complainant. Any decision about continued services should rest on clinical and ethical factors, with appropriate continuity planning rather than punishment or abrupt abandonment.

Question 11 — Correct: B

Correct Answer: Notify the carrier promptly, preserve the record, and follow appropriate legal and claims guidance

Explanation: The written demand is a potential claim under the policy's stated notice term. Prompt reporting and record preservation protect the response process, whereas personal payment or retrospective record alteration could create additional professional and coverage problems.

Question 12 — Correct: B

Correct Answer: Explain the mandated status and reporting limits, obtain informed consent, and disclose only the required information

Explanation: A mandated client needs clear information about what will be reported, to whom, and why before counseling proceeds. The order authorizes attendance and participation reports, not unrestricted session content, so disclosure should remain within that boundary.

Question 13 — Correct: B

Correct Answer: Seek consultation to manage personal values and continue competent, nondiscriminatory counseling

Explanation: The counselor is competent to address the presenting concern, so personal discomfort alone is not a client-centered reason to refer. Consultation can help prevent value imposition and preserve equitable care without burdening the couple with the counselor's beliefs.

Question 14 — Correct: B

Correct Answer: Correct the coordination error, notify the appropriate parties, and return any overpayment as required

Explanation: Duplicate payment is not earned revenue merely because both claims were processed. Correcting the ledger and resolving the overpayment with the affected payers and client supports accurate billing and prevents improper retention of funds.

Question 15 — Correct: A

Correct Answer: Restrict access as needed, report the error, and use the approved process to correct both records while preserving the audit trail

Explanation: The error affects both record accuracy and possible confidentiality, so it requires controlled correction and review. Silent deletion would erase evidence and bypass assessment, while leaving the note in the wrong chart would perpetuate the clinical risk.

Question 16 — Correct: C

Correct Answer: Obtain a new valid authorization before releasing the summary

Explanation: The authorization no longer permits disclosure after its stated expiration, and clinic policy requires current written permission. Altering the date or relying on the authorization's earlier validity would bypass the client's defined time limit.

Question 17 — Correct: B

Correct Answer: Follow the custody and notice requirements and access or transfer records only through authorized processes

Explanation: Creating clinical content does not give the departing counselor personal ownership of the charts under the stated agreement and law. Authorized custody, notice, and transfer procedures protect continuity and confidentiality without copying or deleting records unilaterally.

Question 18 — Correct: C

Correct Answer: Follow the adolescent-consent law, maintain confidentiality, and discuss permissible family involvement with the client

Explanation: The supplied law gives the adolescent both treatment consent and control of the related disclosure. Parental status alone does not override that rule, and an oral summary would still disclose confidential information.

Question 19 — Correct: B

Correct Answer: Request prompt correction and give prospective clients accurate information in the meantime

Explanation: Counselors share responsibility for addressing material public inaccuracies about their practice once discovered. Accepting referrals under a false specialty or simply blaming the insurer would leave consumers exposed to misleading information.

Question 20 — Correct: C

Correct Answer: Verify the documents and provide the records relevant to the authorized estate purpose through a secure process

Explanation: The controlling law gives a verified executor representative authority for relevant records. That authority supports a purpose-limited disclosure, not a categorical refusal or automatic release of every clinical detail.

Question 21 — Correct: C

Correct Answer: Suspend the discriminatory routing, review affected applications, and audit and correct the system before reuse

Explanation: Automated consistency does not make a discriminatory rule acceptable. Human review, remediation for affected applicants, and correction of the system are necessary before it can again influence access to services.

Question 22 — Correct: C

Correct Answer: Secure the repository, report and assess the exposure, and migrate backups to approved encrypted storage

Explanation: A working backup is not compliant when it is unencrypted and stored in an unauthorized location. The clinic must contain and assess the exposure, then restore a backup process that meets the stated security requirements.

Question 23 — Correct: B

Correct Answer: Establish a rule-compliant employment and supervision arrangement or do not engage the associate for clinical work

Explanation: The proposed contractor and billing structure conflicts directly with the supplied associate-practice rules. Adding a supervisor's name to notes does not convert independent practice into compliant employment and supervision.

Question 24 — Correct: B

Correct Answer: Avoid clinical discussion until privacy can be established, then resume or reschedule according to policy

Explanation: The counselor should not begin sensitive work when a third party can hear and no urgency requires immediate discussion. A client's choice of location does not relieve the counselor of the duty to assess privacy and use a safer alternative.

Question 25 — Correct: A

Correct Answer: Continue to protect it and disclose only when valid consent, lawful authority, or another applicable exception permits

Explanation: A client's death does not automatically make confidential counseling information public or available to every relative. The counselor should identify a valid basis and proper recipient before making any disclosure and retain or dispose of the record under applicable requirements.

Question 26 — Correct: A

Correct Answer: Use supported devices, timely security updates, approved encryption, and access controls such as multifactor authentication

Explanation: Supported, updated systems and individual access controls reduce foreseeable threats to electronic clinical information. Visible warnings are not a reliable measure of compromise, and shared credentials defeat accountability and access tracking.

Question 27 — Correct: A

Correct Answer: Scheduling appointments using privacy-protective procedures without making clinical decisions

Explanation: Scheduling is an administrative function that can be delegated with training and confidentiality safeguards. Risk triage, test interpretation, and diagnostic explanation require clinical judgment and should not be assigned to a nonlicensed administrative worker.

Question 28 — Correct: A

Correct Answer: Discuss foreseeable contact, agree on privacy-protective boundaries, document them, and monitor their effect

Explanation: In unavoidable community overlap, proactive discussion lets the client and counselor plan how to protect privacy and the counseling relationship. Automatic termination may unnecessarily limit access, while ignoring the issue leaves predictable boundary effects unmanaged.

Question 29 — Correct: C

Correct Answer: Disclose the collection policy in the financial agreement and release only legally permitted information if collection becomes necessary

Explanation: Advance financial disclosure enables informed agreement and reduces surprise if a debt later goes to collection. A collection need does not justify unrestricted access to clinical records, while concealing the policy until default is not transparent business practice.

Question 30 — Correct: A

Correct Answer: Notify the carrier, respond truthfully on time, and transmit authorized records securely

Explanation: The verified board request has legal authority under the scenario, and the liability policy adds a timely notice obligation. Cooperation should be accurate, secure, and limited to what the board is authorized to obtain; bargaining with the complainant would be improper.

Question 31 — Correct: C

Correct Answer: Explain the privacy concern and use an approved alternative or decline the integration

Explanation: The client's request does not remove the counselor's responsibility to evaluate how a third-party app handles identifiable information. An approved alternative or no integration avoids exposing clinical data to an advertising use that the clinic has not accepted.

Question 32 — Correct: B

Correct Answer: Evaluate the gift under agency policy, discuss relevant meaning and boundaries, and document the decision

Explanation: A modest gift may carry cultural and relational meaning that should be considered rather than accepted or rejected mechanically. The policy calls for a contextual assessment and documentation because low price alone does not resolve influence or boundary concerns.

Question 33 — Correct: C

Correct Answer: Decline the restricted task and arrange an appropriate qualified provider or alternative assessment

Explanation: The scenario expressly places independent use outside the counselor's permitted scope, regardless of employer preference. Client waiver cannot enlarge a professional license or override the instrument's restriction.

Question 34 — Correct: C

Correct Answer: Refund the unearned amount and correct the handling of future advance payments

Explanation: The supplied rule makes both segregation and prompt return of unearned fees mandatory. A discount or completed first session does not authorize the practice to keep payment for services it will not provide.
